

Financial goals and tax savings

Q. This year my investment in insurance was done at the last minute to save taxes. How do I prepare for next year in a systematic way?

-Swati Sharma, Jabalpur

A: Let me rephrase that question – How do I financially plan for my life goals and save tax as a consequence of this planning? Saving tax should be a by-product and not the end result of your investment philosophy. The underlying objective of investment in health, life insurance and pension plans should be to pay for the education of your children or planning for your retirement or meet costs of medical care, in addition to providing tax benefits. Thus, prioritization of life goals has to be the first step towards making any sound investment plan. Each of these life goals can be met through specific investments which will address that objective, while saving tax as an add-on benefit.

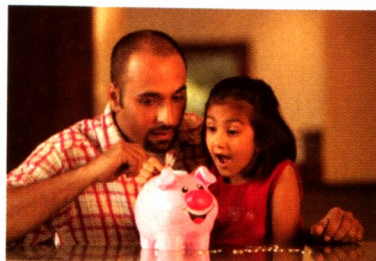
If your top priority is retirement planning, then the first step is to determine the corpus that you will need to live a life of your choice post-retirement. For this you need to take into account expected wealth at the time of proposed retirement, current income and expenses, age of retirement and also inflation. You could visit www.icicprulife.com/retirement/retirementnumber to know how much you need to save when you retire. You can accordingly invest in an ELSS or Retirement solutions plan which will secure your larger life goal and give you the additional benefit of tax savings.

Thus to avail tax benefits, you need to first systematically identify your life goals and choose the right investment option that will help you achieve those goals and simultaneously give you tax benefits.

Q. I draw a monthly salary of Rs 25,000. My friends advise me to invest up to Rs 1,00,000 to avail income tax benefits. Kindly suggest some tax saving instruments. I stay in a flat owned by my father and I have no loans or other dues.

-Anuj Nair, Mumbai

A: Currently it seems you do not have any significant financial liabilities. You could invest up to a maximum of Rs



1,00,000 to avail of benefits under Section 80C, 80CCC and Rs 15,000 under Section 80D. Some of the financial instruments you could invest in are:

- To insure yourself to the tune of 4-6 times your annual income, you could buy a term plan from an insurance company and avail of tax benefits under Section 80C.

- This is the right age to plan for your retirement. You could invest in a unit linked pension plan from a reputed insurance company and get tax benefits under Section 80CCC.
- The rising cost of health care makes it very important to plan for health protection. It also provides additional tax benefit under Section 80D on investments up to Rs 15,000. This investment would be over and above the Rs 1,00,000 limit under Section 80C and 80CCC.

Q. Is there any limit for the EPF contribution like PPF (Rs 70,000 in a year)? Is the interest earned taxable when you retire?

-Sudeesh Nambiar, Chennai

A: There is no limit to the EPF contribution. The interest income earned on EPF is tax exempt, only if following conditions are satisfied:

- Employee has rendered continuous service with his employer for a period of 5 years or more;
- Employee has not been in continuous service for 5 years, but the service has been terminated due to ill-health, or by contraction, discontinuance of employers business or any other cause beyond his control; or
- On cessation of employment, employee transfers the accumulated balance to EPF account maintained by new employer.

Q: If I take a 'Single Premium Unit Linked Pension Policy', what are the tax benefits that I can avail of?

-Rama Nayak, Mumbai

A: You can avail of tax benefits in the first year as the premium paid is eligible for tax benefits under Section 80CCC. If you use the option of top-ups in subsequent years you could continue to avail of the tax benefits under Section 80CCC(1) on the top-up amount.



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